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US Equity Strategy

Mid-Quarter Update: 8100 Remains in Line of Sight

CITI'S TAKE

With Q2 earnings mostly behind us, we lift our full year S&P 500 index estimate to \$365 from a previous \$350. The fundamental tailwinds supporting our year-end 8100 target remain mostly in place. Broadening has been happening and should continue premised on our expectation for the market to price out Fed rate hikes. The earnings story does require a disclaimer, as described below. Revenue trends for the AI capex spenders should help provide a floor for the AI-influenced portion of the index, for now. The path to 8100 requires broadening via soft landing sentiment supported by the Tech reset and renewed confidence in AI fundamentals.

The “Asterisk” in Earnings — We lift our full year index S&P 500 earnings projection to \$365 from a previous \$350. Our projection for a normal positive surprise pattern was slightly exceeded during Q2. However, asset writeups for certain megacaps have provided a significant boost to consensus earnings but cannot be directly attributed to operating performance.

Storylines — Index level sales growth has accelerated with further margin expansion associated with that. The resultant earnings growth improvement looks more akin to post-recession circumstances. Here, per the above point, we need to account for non-operating components at work but this does not detract from a still-strong fundamental backdrop.

Concentration Effects — Index earnings consensus has moved from \$312 at the start of the year to \$361 currently. Of this \$49 increase, 20 stocks account for \$45 of the total. We note that full year consensus has risen by \$20 since the end of Q2, with only \$3 of that total related to Q3-Q4 revisions.

Takeaway — Ongoing earnings tailwinds are undeniable but require some provisos related to asset writeups and lack Q3/Q4 estimate follow through to Q2 strength. The case for broadening remains and is contingent on soft landing/goldilocks macro sentiment. Still, the importance of the AI-influenced cohort is critical to further index upside. Here, the issue is one of confidence in duration/persistence of current fundamental strength.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Earnings Strength Needs Context

Our S&P 500 call for most of this year has been premised on confidence in ongoing fundamental tailwinds. This continues to play out as we wind through the balance of the Q2 reporting period. In fact, the earnings growth dynamic has bordered on uncanny. Consensus at the start of the year was for \$312 in earnings, relative to our “aggressive” \$320 estimate. In mid-June we lifted our full year projection to \$350, keeping us highest among sell side strategists. Yet, as of this writing, consensus has moved up to \$362, essentially pulling forward a full year’s growth in earnings as it implies a +30% yr/yr index earnings gain for 2026.

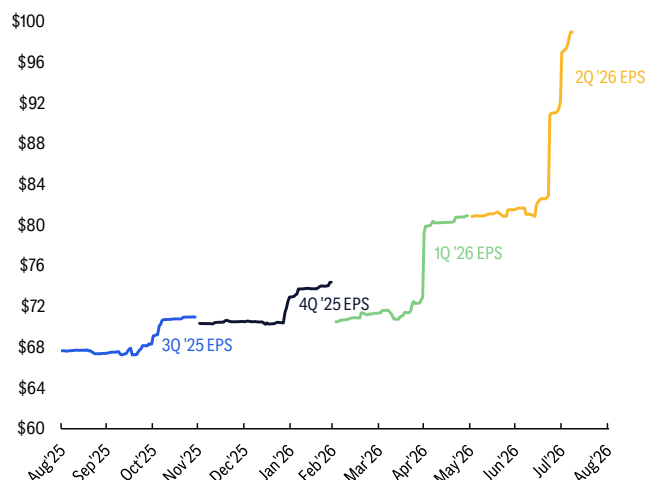
For sure, the Tech complex, and Semis/HW in particular, have been the primary driver. Most other sectors have provided support, particularly led by Energy and Financials. In total, underlying fundamentals, clearly influenced by the AI infrastructure buildout, have rendered normal macro and monetary influences less relevant other than for shorter-term trading action.

Still, the earnings picture is not clean. Tariff add backs, investment write ups, and initial Iran conflict impacts complicate the true picture but do not negate the trend. Sales and margin upside are clearly contributing.

Overall, Q2 earnings contained a continuation of the strong positive surprises defining the past several quarters. We dive into the details below. To cut to the chase, we assess that nearly two-thirds of the Q2 lift above expectations was due to one-time items that are mostly non-operating, and which are unlikely to repeat on a go-forward basis. Backing this out, the Q2 beat would have looked closer to the pattern from the prior few quarters (Figure 1). To be clear, this does not change the picture that fundamental trends are strong. Rather, it implies that we need to be sensitive to persistence of this earnings strength as well as to the multiple that is implicitly assigned.

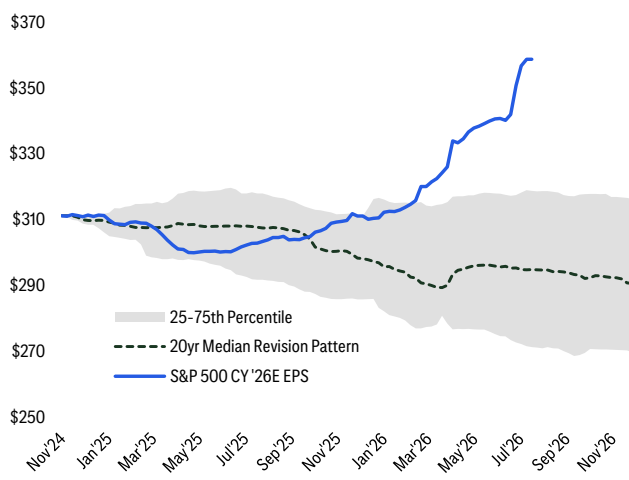
The CY 2026 revision pattern is running well outside the normal band of the last 20 years (Figure 2). A revision pattern of this magnitude is most typical coming out of recessions. So, the bottom line is that the up size to forward earnings expectations is undeniably strong but requires two points of context. The first the influence of asset writeups and other potentially non-recurring items, the second is as to expectations of persistence of this pattern.

Figure 1. S&P 500 Quarterly Consensus EPS, Last 1yr



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Figure 2. S&P 500 CY '26 Consensus EPS vs. 20Y Pattern



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Source: Citi Research, FactSet

In Figure 3, we break down each of Q2, CY '26, and CY '27 earnings expectations now relative to the end of Q2 by Industry Group, Sector, Industry Group Cluster (Growth/Defensive/Cyclical), and Magnificent 8 (Magnificent 7 + AVGO) versus the Other 492. This is constructed in S&P 500 Index per share terms to track how the magnitude of positive surprise in each segment influences index level earnings. There are multiple interesting storylines that this table sets up for further discussion. All in, this level and degree of granularity helps with a more complete and nuanced understanding of the S&P 500 earnings condition.

At the end of Q2, S&P 500 index level CY 2026 EPS estimates sat at ~\$343. Quarter-to-date, this bottom-up consensus figure has increased by \$20 to \$362. This \$20 lift is a combination of positive surprise for Q2 (\$17 of the \$20) and positive revisions to analyst estimates for Q3-Q4 2026 (\$3 of the \$20).

Scrolling down this table, note that Q2 beats are most notable in certain industry groups such as Media & Entertainment, Consumer Discretionary Distribution & Retail, Financials, and Info Tech. This is also where we assess some influence of one-off items, which are unlikely to repeat. In aggregate, we estimate that roughly two-thirds of the Q2 beat was from this impact.

Looking out to 2027 estimates, consensus has moved to \$406 from a prior \$398. Info Tech upside is most notable here albeit entirely from Semis and HW, with no increase in SW expectations. Most other IG/sectors have shown only modest changes, which is not a surprise.

Keep in mind that this build up is not perfect as Semiconductor fundamental strength has been a key storyline, but off-cycle reporting for stocks such as NVDA and MU do not fit neatly in the timing framework utilized in this data. Here, we expect that some incremental upside to consensus should come from their upcoming quarterly reports.

Lastly, note the earnings progressions for our three clusters as well as for Mag 8 vs the Other 492. This underscores the importance of the AI play to the overall index fundamental trajectory.

Figure 3. 2Q Surprise & Change in CY 2026–27 Earnings Expectations (All in S&P 500 Index \$ per Share Terms)

EPS in S&P 500 Index \$ Per Share Terms	6/30/2026				Now				6/30/2026				Now				6/30/2026				Now			
	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg
Communication Services	\$8.13	\$16.21	\$8.08	99.4%	6.2%	111.8%			\$37.00	\$44.80	\$7.80	21.1%	23.4%	49.4%			\$39.32	\$39.23	-\$0.09	-0.2%	6.3%	-12.4%		
Media & Entertainment	\$6.49	\$14.46	\$7.97	122.8%	2.4%	128.2%			\$30.66	\$38.41	\$7.75	25.3%	24.1%	55.4%			\$32.37	\$32.38	\$0.01	0.0%	5.6%	-15.7%		
ns Services	\$1.63	\$1.75	\$0.12	7.4%	12.0%	20.3%			\$6.30	\$6.38	\$0.08	1.2%	11.3%	12.7%			\$6.91	\$6.85	-\$0.06	-0.9%	9.7%	7.4%		
Consumer Discretionary	\$5.89	\$10.58	\$4.69	79.8%	2.9%	85.0%			\$25.47	\$30.13	\$4.66	18.3%	13.4%	34.2%			\$28.65	\$28.88	\$0.23	0.8%	12.5%	-4.2%		
Automobiles & Components	\$0.68	\$0.71	\$0.03	4.5%	7.7%	12.5%			\$2.95	\$2.97	\$0.02	0.7%	21.7%	22.6%			\$3.33	\$3.31	-\$0.02	-0.5%	12.8%	11.4%		
Consumer Durables & Apparel	\$0.37	\$0.47	\$0.11	29.1%	-16.4%	7.9%			\$1.81	\$1.90	\$0.09	5.0%	-6.3%	-1.6%			\$2.06	\$2.06	\$0.00	-0.2%	14.0%	8.4%		
Consumer Services	\$1.28	\$1.35	\$0.07	5.5%	6.8%	12.6%			\$5.24	\$5.29	\$0.05	1.0%	11.1%	12.2%			\$6.11	\$6.08	-\$0.03	-0.5%	16.6%	14.9%		
Consumer Discretionary Distribution & Retail	\$3.56	\$8.05	\$4.49	126.0%	3.1%	133.1%			\$15.47	\$19.97	\$4.50	29.1%	15.6%	49.2%			\$17.15	\$17.43	\$0.28	1.6%	10.8%	-12.8%		
Consumer Staples	\$3.77	\$3.89	\$0.13	3.3%	3.6%	7.0%			\$15.25	\$15.27	\$0.02	0.1%	5.3%	5.4%			\$16.40	\$16.42	\$0.02	0.1%	7.5%	7.5%		
Consumer Staples Distribution & Retail	\$1.01	\$1.01	\$0.00	0.4%	11.2%	11.7%			\$4.02	\$4.03	\$0.01	0.2%	9.3%	9.5%			\$4.43	\$4.45	\$0.03	0.6%	10.0%	10.5%		
Food Beverage & Tobacco	\$2.08	\$2.19	\$0.11	5.5%	3.7%	9.3%			\$8.18	\$8.22	\$0.04	0.5%	5.9%	6.4%			\$8.75	\$8.77	\$0.02	0.2%	7.1%	6.8%		
Household & Personal Products	\$0.68	\$0.69	\$0.01	1.1%	-2.2%	-1.2%			\$3.05	\$3.02	-\$0.03	-1.0%	2.0%	1.0%			\$3.21	\$3.20	-\$0.02	-0.6%	5.5%	5.9%		
Energy	\$5.93	\$6.56	\$0.63	10.6%	118.7%	141.9%			\$18.96	\$20.26	\$1.30	6.9%	68.4%	80.0%			\$17.23	\$18.29	\$1.05	6.1%	-9.1%	-9.7%		
Financials	\$13.47	\$15.48	\$2.01	14.9%	5.6%	21.3%			\$55.92	\$58.34	\$2.42	4.3%	9.3%	14.0%			\$62.05	\$63.16	\$1.11	1.8%	11.0%	8.3%		
Banks	\$4.71	\$5.74	\$1.03	21.9%	13.1%	37.8%			\$19.23	\$20.46	\$1.23	6.4%	16.7%	24.1%			\$21.52	\$21.97	\$0.45	2.1%	11.9%	7.4%		
Financial Services	\$6.48	\$7.12	\$0.64	9.8%	4.1%	14.3%			\$26.92	\$27.73	\$0.81	3.0%	8.0%	11.2%			\$30.28	\$30.90	\$0.62	2.1%	12.5%	11.5%		
Insurance	\$2.29	\$2.62	\$0.33	14.3%	-0.9%	13.3%			\$9.80	\$10.17	\$0.37	3.8%	2.2%	6.0%			\$10.30	\$10.33	\$0.02	0.2%	5.2%	1.6%		
Health Care	\$7.49	\$7.68	\$0.19	2.6%	-9.6%	-7.3%			\$33.54	\$33.42	-\$0.12	-0.4%	2.5%	2.2%			\$39.95	\$40.33	\$0.38	0.9%	19.1%	20.7%		
Health Care Equipment & Services	\$3.32	\$3.80	\$0.48	14.4%	7.5%	22.9%			\$13.28	\$13.63	\$0.35	2.7%	7.1%	9.9%			\$14.82	\$15.15	\$0.33	2.2%	11.6%	11.1%		
Pharmaceuticals Biotechnology & Life Sciences	\$4.17	\$3.88	-\$0.29	-6.9%	-19.7%	-25.2%			\$20.26	\$19.79	-\$0.47	-2.3%	-0.2%	-2.5%			\$25.13	\$25.18	\$0.05	0.2%	24.1%	27.3%		
Industrials	\$5.75	\$6.16	\$0.41	7.1%	8.1%	15.8%			\$24.07	\$24.73	\$0.66	2.7%	9.5%	12.5%			\$27.80	\$28.56	\$0.75	2.7%	15.5%	15.5%		
Capital Goods	\$3.95	\$4.26	\$0.31	7.7%	13.4%	22.2%			\$16.68	\$17.12	\$0.44	2.7%	13.6%	16.7%			\$19.07	\$19.68	\$0.62	3.2%	14.3%	15.0%		
Commercial & Professional Services	\$0.61	\$0.62	\$0.01	2.4%	6.8%	9.4%			\$2.46	\$2.47	\$0.00	0.2%	8.4%	8.6%			\$2.73	\$2.69	-\$0.04	-1.3%	10.8%	9.2%		
Transportation	\$1.18	\$1.28	\$0.10	8.1%	-3.9%	3.9%			\$4.90	\$5.13	\$0.23	4.7%	-0.3%	4.4%			\$5.97	\$6.18	\$0.20	3.4%	21.8%	20.3%		
Information Technology	\$25.46	\$26.63	\$1.17	4.6%	60.9%	68.3%			\$109.12	\$111.21	\$2.09	1.9%	53.8%	56.7%			\$141.19	\$146.55	\$5.36	3.8%	29.4%	31.8%		
Semiconductors & Semiconductor Equipment	\$13.11	\$13.34	\$0.23	1.8%	129.0%	133.0%			\$55.72	\$56.43	\$0.71	1.3%	112.1%	114.8%			\$78.72	\$82.81	\$4.09	5.2%	41.3%	46.7%		
Software & Services	\$6.42	\$6.92	\$0.50	7.8%	12.9%	21.7%			\$27.11	\$27.75	\$0.64	2.4%	13.6%	16.3%			\$31.70	\$31.70	\$0.00	0.0%	17.0%	14.2%		
Technology Hardware & Equipment	\$5.92	\$6.37	\$0.44	7.5%	36.9%	47.2%			\$26.25	\$26.97	\$0.72	2.7%	28.1%	31.6%			\$30.83	\$32.04	\$1.21	3.9%	17.4%	18.8%		
Materials	\$1.99	\$2.11	\$0.11	5.8%	35.2%	43.0%			\$7.37	\$7.30	-\$0.07	-1.0%	37.3%	36.0%			\$8.20	\$8.16	-\$0.03	-0.4%	11.2%	11.9%		
Real Estate	\$1.83	\$1.85	\$0.02	1.3%	4.6%	6.0%			\$7.32	\$7.33	\$0.00	0.0%	5.2%	5.2%			\$7.85	\$7.77	-\$0.08	-1.0%	7.2%	6.1%		
Utilities	\$1.83	\$1.82	-\$0.01	-0.8%	12.0%	11.1%			\$8.74	\$8.71	-\$0.02	-0.3%	11.0%	10.7%			\$9.55	\$9.36	-\$0.19	-2.0%	9.3%	7.4%		
S&P 500	\$81.51	\$98.95	\$17.44	21.4%	21.6%	47.6%			\$342.83	\$361.54	\$18.72	5.5%	24.2%	31.0%			\$398.23	\$406.67	\$8.44	2.1%	16.2%	12.5%		

EPS in S&P 500 Index \$ Per Share Terms	6/30/2026				Now				6/30/2026				Now				6/30/2026				Now			
	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg	2Q '26	2Q '26	Chg	% Chg
S&P 500 Growth IG Cluster	\$36.18	\$49.84	\$13.66	37.7%	38.3%	90.6%			\$158.16	\$172.50	\$14.34	9.1%	42.3%	55.2%			\$194.09	\$199.66	\$5.57	2.9%	22.7%	15.7%		
S&P 500 Cyclical IG Cluster	\$28.18	\$31.50	\$3.32	11.8%	21.3%	35.6%			\$110.90	\$115.35	\$4.45	4.0%	18.2%	22.9%			\$120.75	\$123.65	\$2.91	2.4%	8.9%	7.2%		
S&P 500 Defensive IG Cluster	\$17.15	\$17.61	\$0.46	2.7%	-0.8%	1.8%			\$73.61	\$73.57	-\$0.04	-0.1%	5.4%	5.3%			\$83.39	\$83.43	\$0.03	0.0%	13.3%	13.4%		
Mag8	\$21.76	\$34.30	\$12.53	57.6%	34.4%	111.8%			\$98.83	\$111.44	\$12.61	12.8%	38.1%	55.8%			\$121.40	\$122.54	\$1.14	0.9%	22.8%	10.0%		
Rest of Index	\$59.74	\$64.65	\$4.90	8.2%	17.5%	27.2%			\$244.00	\$250.10	\$6.10	2.5%	19.3%	22.3%			\$276.83	\$284.13	\$7.30	2.6%	13.5%	13.6%		
S&P 500	\$81.51	\$98.95	\$17.44	21.4%	21.6%	47.6%			\$342.83	\$361.54	\$18.72	5.5%	24.2%	31.0%			\$398.23	\$406.67	\$8.44	2.1%	16.2%	12.5%		

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Source: Citi Research, FactSet

Key Storylines From Q2 Earnings

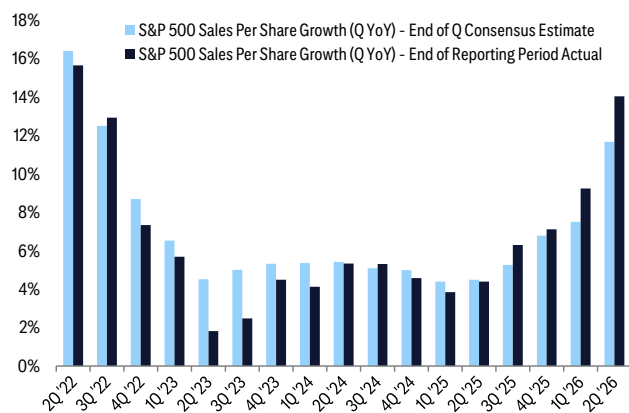
In the charts below, we show several storylines at work.

First, sales growth has surprised significantly to the upside and continues a trend in place for several quarters. Figure 4. Much of this will be attributable to AI trade, of course. Still, this degree of sales growth improvement is something we have only seen once before over the last 20 years and ties back to the post-Covid reopening trade and related inflation surge (Figure 5).

Generally, we place higher value on sales-led earnings growth as inherent support for both trailing and forward multiples. The dynamics at work right now are extraordinary. But they do beg the question as to persistence beyond 2026 and 2027.

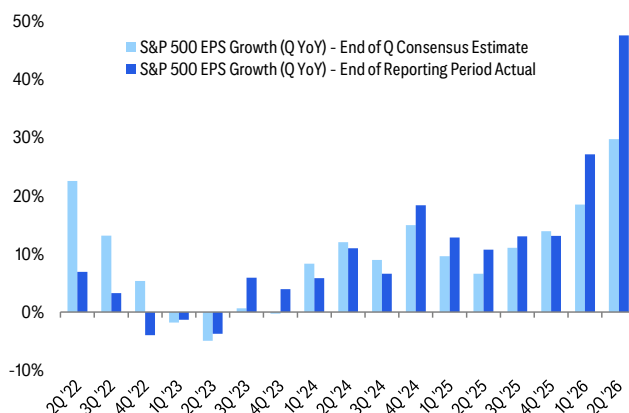
Second, a similar observation shows in EPS growth (Figures 6 and 7). The acceleration occurring right now is extraordinary. Yet, this is setting up for a classic distinction between the index-level flow through relative to sector contributions to this. Furthermore, as identified earlier, we need to allow for some potentially non-recurring influences as well.

Figure 4. S&P 500 YoY Sales per Share Growth (Quarterly Estimates vs. Actuals)



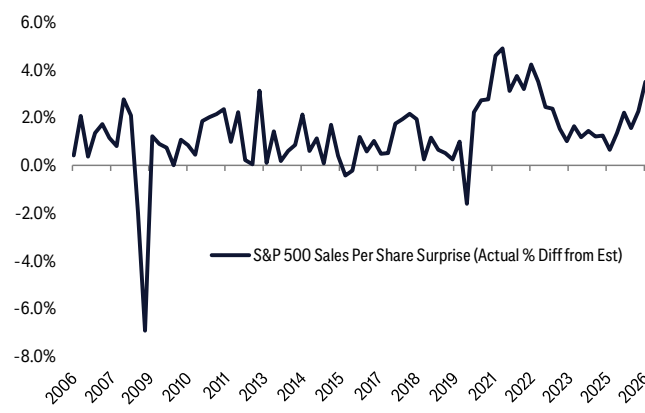
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Figure 6. S&P 500 YoY EPS Growth (Quarterly Estimates vs. Actuals)



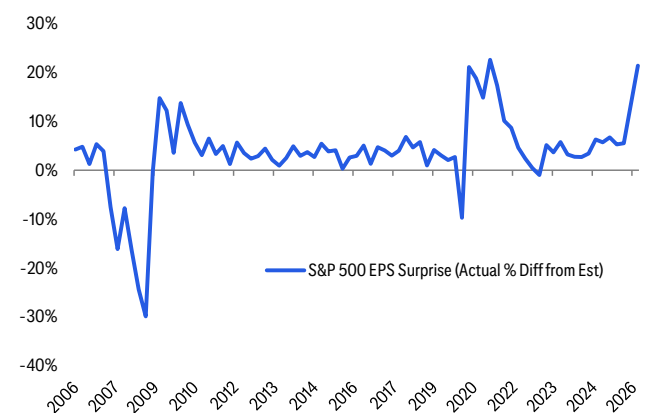
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Figure 5. S&P 500 Sales per Share Quarterly Surprise, Last 20Y



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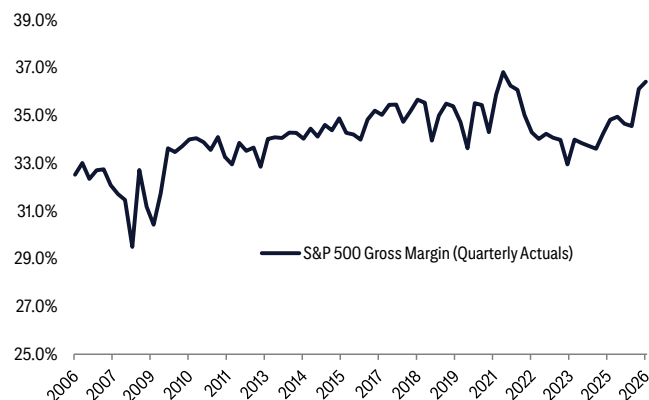
Figure 7. S&P 500 EPS Quarterly Surprise, Last 20Y



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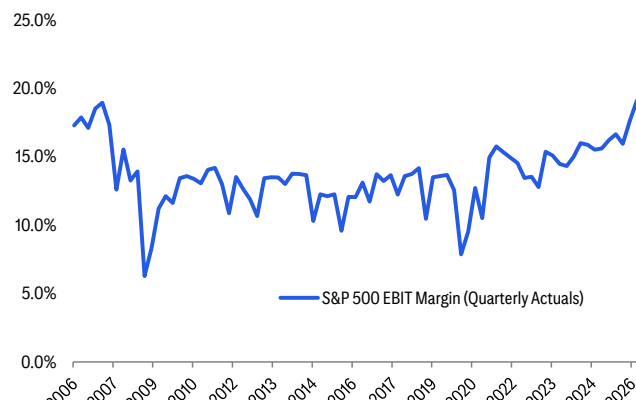
Third, margins appear to be coming in largely in line with expectations heading into the quarter, so not a strong source of the EPS surprise but certainly a source of the EPS growth this quarter. Generally, our view is that as go margins and profitability, so go valuations. At risk of a broken record, the issue now is not so much the magnitude of the fundamental upside manifesting now but more so the persistence of it in the outyears.

Figure 8. S&P 500 Quarterly Gross Margins



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Source: Citi Research, Bloomberg

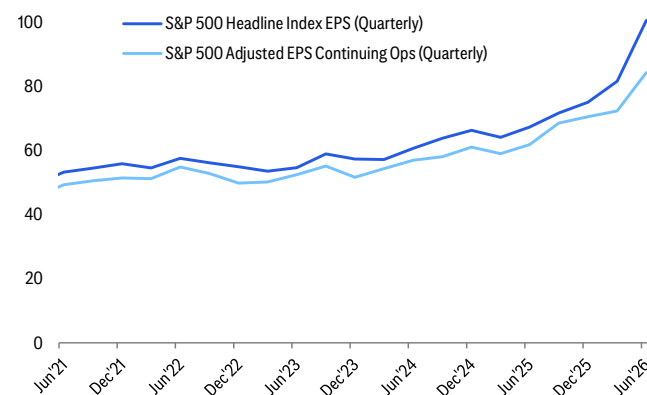
Figure 9. S&P 500 Quarterly EBIT Margins



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Source: Citi Research, Bloomberg

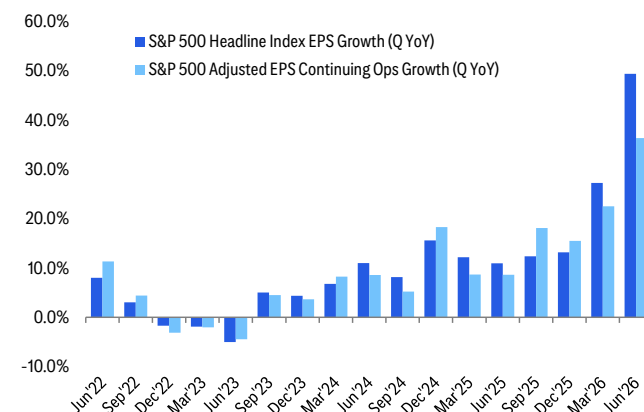
Fourth, investors need to be aware of the markups influence on the Q2 beat. This is a major influence on the CY '26 earnings strength and must be ignored or at least segregated. It will set up difficult compares next year so which will need to be recognized. A positive item to call out here is that the hyperscalers that have booked these unrealized gains have paid the tax and thus this is a source of funds on the balance sheet that could be tapped if raising capital in debt/equity markets proves more challenging ahead. So, while we ignore for earnings growth purposes, this factor should not be overlooked. Backing this out we still get strong earnings growth and it doesn't change the overall picture (Figures 10 and 11).

Figure 10. Markups Influencing the Q2 Beat



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Source: Citi Research, FactSet, Bloomberg

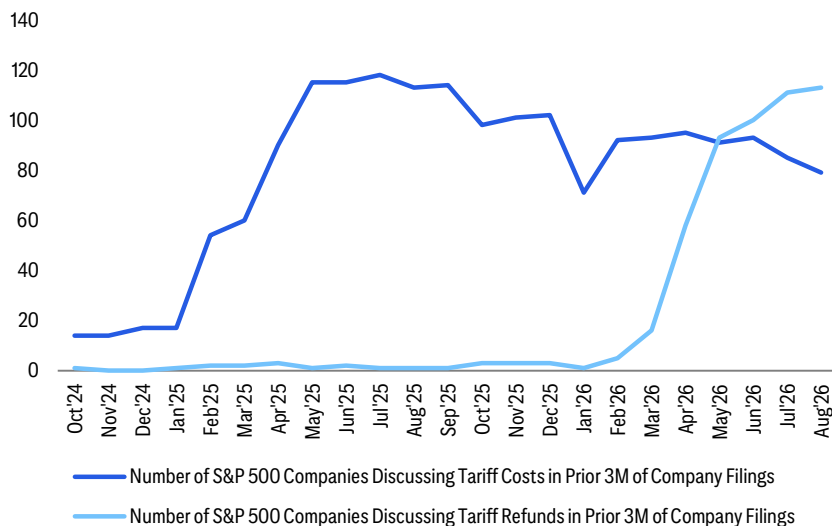
Figure 11. Earnings Growth Still Strong Backing Out the Markups



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Source: Citi Research, FactSet, Bloomberg

Fifth, tariff refunds are carrying over to Q2. We called this out after the Q1 reporting period. We expect that the Q2 windfall from this element was probably the last tailwind from this.

Figure 12. Tariff Refund Impact Likely Peaked in Q2 Results

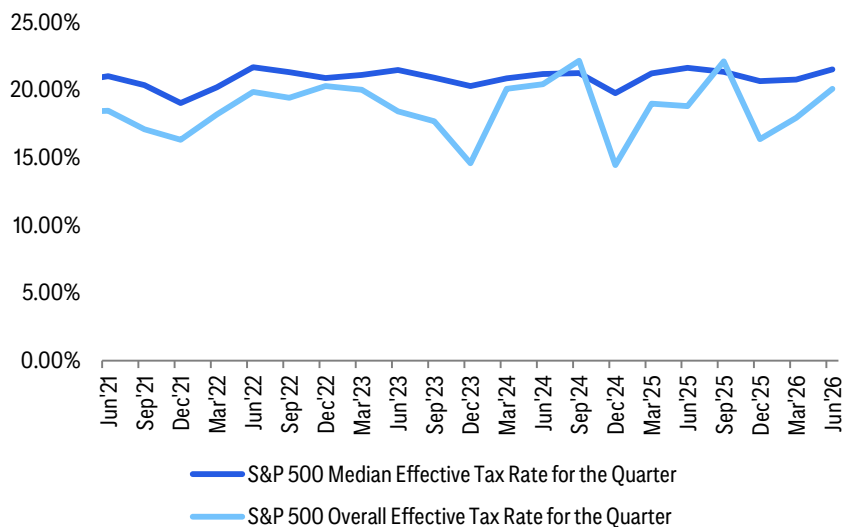


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Source: Citi Research

Sixth, we are not seeing any tax rate compression from the OBBBA. The bright side of that is the earnings growth this year does tie back to sales and margin improvement more so than lower tax rates. Figure 13.

Figure 13. Tax Rate Relatively Unchanged from the OBBBA



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Source: Citi Research, Bloomberg

Index Contributors

Quarterly earnings trends get spun in many ways by markets analysts. The emphasis on single stock impacts is clearly important. However, critical to our work is how this all translates into index level data as this gets much investor attention in assessing drivers for index performance. There is no doubt that aggregate earnings for the S&P 500 have been quite strong during the current reporting period. Yet, mapping this to index earnings is its own storyline.

In Figure 14 we identify the top and bottom 20 contributors to each of the Q2 positive surprise, and in Figure 15 we do the same for the ensuing Q3 through Q4 timeframe. Essentially, this puts context on the Q2 beat along with follow through to rest of 2026 revisions.

At the index level, the Q2 “beat” was approximately \$17. Estimates for the remainder of the year were lifted by roughly \$3. The math below shows that the top 20 earnings surprise contributors determined about \$15 of that total beat, nearly \$11 of which was non-operating. The bottom 20 detracted by <\$1. The takeaway is that the aggregate Q2 index surprise was quite concentrated and was led by a small number of mega caps with non-operating windfalls. To be fair, our start date for this analysis is the end of Q2. This means we will have missed some off-cycle reporters. Still, the point here is that the positive index surprise in Q2 has been quite top heavy.

Turning to the out quarters, the top 20 raisers drive >\$2 of the \$3 index earnings 2H '26 upward revision. But this is offset by guidance reductions elsewhere. Figure 15.

In aggregate, the message in this data is that index earnings upside in Q2 has been notably narrow. Furthermore, the lack of follow-through in Q3-Q4 growth expectations should provide a conservative set up going forward. In turn, our new \$365 full year earnings estimate should be readily achievable barring an unforeseen shock effect.

Figure 14. Top & Bottom Contributors to the Change in S&P 500 2Q '26 EPS Estimates QTD

Top and Bottom 20 by 2Q Positive Surprise Impact on 2Q S&P 500 EPS							
Ticker	Name	Sector	Industry Group	2Q '26 Earnings Estimate on 6/30/26 (Index \$ per share terms)	2Q '26 Earnings Estimate on 8/11/26 (Index \$ per share terms)	\$ Change QTD (Index EPS Impact)	% Change QTD (Pos/Neg Surprise)
GOOGL	Alphabet Inc	Communication Services	Media & Entertainment	\$3.57	\$11.22	\$7.66	215%
AMZN	Amazon.com Inc	Consumer Discretionary	Consumer Discretionary Distribution & Retail	\$2.07	\$6.55	\$4.48	216%
MSFT	Microsoft Corp	Information Technology	Software & Services	\$3.67	\$4.10	\$0.43	12%
ECHO	EchoStar Corp	Communication Services	Media & Entertainment	\$0.01	\$0.38	\$0.38	6891%
GS	Goldman Sachs Group Inc/The	Financials	Financial Services	\$0.49	\$0.72	\$0.23	48%
AAPL	Apple Inc	Information Technology	Technology Hardware & Equipment	\$3.23	\$3.45	\$0.22	7%
JPM	JPMorgan Chase & Co	Financials	Banks	\$1.72	\$1.91	\$0.19	11%
MPC	Marathon Petroleum Corp	Energy	Energy	\$0.42	\$0.60	\$0.18	42%
CVX	Chevron Corp	Energy	Energy	\$1.15	\$1.32	\$0.17	15%
UNH	UnitedHealth Group Inc	Health Care	Health Care Equipment & Services	\$0.51	\$0.67	\$0.16	32%
TRV	Travelers Cos Inc/The	Financials	Insurance	\$0.12	\$0.25	\$0.13	103%
PSX	Phillips 66	Energy	Energy	\$0.32	\$0.44	\$0.12	39%
ALL	Allstate Corp/The	Financials	Insurance	\$0.15	\$0.27	\$0.12	82%
INTC	Intel Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$0.12	\$0.23	\$0.11	98%
CVS	CVS Health Corp	Health Care	Health Care Equipment & Services	\$0.27	\$0.38	\$0.11	42%
CAT	Caterpillar Inc	Industrials	Capital Goods	\$0.33	\$0.44	\$0.11	33%
BMJ	Bristol-Myers Squibb Co	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.38	\$0.48	\$0.10	28%
WFC	Wells Fargo & Co	Financials	Banks	\$0.61	\$0.71	\$0.10	17%
SNBK	Sandisk Corp	Information Technology	Technology Hardware & Equipment	\$0.57	\$0.67	\$0.10	17%
EQT	EQT Corp	Energy	Energy	\$0.04	\$0.03	-\$0.01	-22%
AEP	American Electric Power Co Inc	Utilities	Utilities	\$0.09	\$0.09	-\$0.01	-9%
IFF	International Flavors & Fragrances Inc	Materials	Materials	\$0.03	\$0.02	-\$0.01	-27%
HONA	Honeywell Aerospace Inc	Industrials	Capital Goods	\$0.08	\$0.07	-\$0.01	-11%
IBM	International Business Machines Cor	Information Technology	Software & Services	\$0.33	\$0.32	-\$0.01	-3%
NRG	NRG Energy Inc	Utilities	Utilities	\$0.05	\$0.04	-\$0.01	-24%
SW	Smurfit Westrock PLC	Materials	Materials	\$0.02	\$0.01	-\$0.01	-58%
COIN	Coinbase Global Inc	Financials	Financial Services	\$0.01	-\$0.01	-\$0.02	-305%
CMS	CMS Energy Corp	Utilities	Utilities	\$0.03	\$0.01	-\$0.02	-54%
CF	CF Industries Holdings Inc	Materials	Materials	\$0.10	\$0.08	-\$0.02	-16%
GEV	GE Vernova Inc	Industrials	Capital Goods	\$0.10	\$0.08	-\$0.02	-23%
ABBV	AbbVie Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.78	\$0.75	-\$0.02	-3%
VICI	VICI Properties Inc	Real Estate	Equity Real Estate Investment Trusts (REITs)	\$0.09	\$0.06	-\$0.03	-33%
TSLA	Tesla Inc	Consumer Discretionary	Automobiles & Components	\$0.14	\$0.11	-\$0.03	-24%
LLY	Eli Lilly & Co	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.81	\$0.77	-\$0.04	-5%
BA	Boeing Co/The	Industrials	Capital Goods	-\$0.03	-\$0.07	-\$0.04	-170%
VST	Vistra Corp	Utilities	Utilities	\$0.08	\$0.03	-\$0.05	-65%
MRK	Merck & Co Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.04	-\$0.04	-\$0.07	-201%
XOM	ExxonMobil Holdings Corp	Energy	Energy	\$1.80	\$1.70	-\$0.10	-6%
META	Meta Platforms Inc	Communication Services	Media & Entertainment	\$1.82	\$1.58	-\$0.24	-13%
Top 20 by 2Q Surprise Impact on S&P 500 EPS				\$20.23	\$35.43	\$15.20	75%
Bottom 20 by 2Q Surprise Impact on S&P 500 EPS				\$6.41	\$5.63	-\$0.78	-12%
S&P 500 2Q '26 Surprise				\$81.51	\$98.95	\$17.44	21%

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Source: Citi Research, Bloomberg, FactSet

Figure 15. Top & Bottom Contributors to the Change in S&P 500 2H '26 EPS Estimates QTD

Top and Bottom 20 by Change in Rest of '26 Consensus Estimates Impact on 2H '26 S&P 500 EPS							
Ticker	Name	Sector	Industry Group	2H '26 Earnings Estimate on 6/30/26 (Index \$ per share terms)	2H '26 Earnings Estimate on 8/11/26 (Index \$ per share terms)	\$ Change QTD (Index EPS Impact)	% Change QTD (Pos/Neg Surprise)
MPC	Marathon Petroleum Corp	Energy	Energy	\$0.61	\$0.95	\$0.34	55%
VLO	Valero Energy Corp	Energy	Energy	\$0.56	\$0.86	\$0.30	53%
JPM	JPMorgan Chase & Co	Financials	Banks	\$3.45	\$3.67	\$0.22	6%
PSX	Phillips 66	Energy	Energy	\$0.52	\$0.70	\$0.18	34%
GS	Goldman Sachs Group Inc/The	Financials	Financial Services	\$0.97	\$1.10	\$0.12	13%
INTC	Intel Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$0.32	\$0.43	\$0.11	35%
LRCX	Lam Research Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$0.56	\$0.66	\$0.10	19%
NVDA	NVIDIA Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$13.32	\$13.42	\$0.10	1%
MSFT	Microsoft Corp	Information Technology	Software & Services	\$8.18	\$8.27	\$0.10	1%
STX	Seagate Technology Holdings PLC	Information Technology	Technology Hardware & Equipment	\$0.32	\$0.41	\$0.09	28%
GOOGL	Alphabet Inc	Communication Services	Media & Entertainment	\$7.76	\$7.84	\$0.08	1%
DAL	Delta Air Lines Inc	Industrials	Transportation	\$0.27	\$0.34	\$0.07	27%
AMZN	Amazon.com Inc	Consumer Discretionary	Consumer Discretionary Distribution & Retail	\$4.95	\$5.02	\$0.07	1%
BAC	Bank of America Corp	Financials	Banks	\$1.72	\$1.79	\$0.06	4%
APH	Amphenol Corp	Information Technology	Technology Hardware & Equipment	\$0.35	\$0.41	\$0.06	17%
SNDK	Sandisk Corp	Information Technology	Technology Hardware & Equipment	\$1.64	\$1.70	\$0.06	4%
REGN	Regeneron Pharmaceuticals Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.30	\$0.36	\$0.05	17%
MS	Morgan Stanley	Financials	Financial Services	\$0.81	\$0.86	\$0.05	6%
NUE	Nucor Corp	Materials	Materials	\$0.23	\$0.28	\$0.05	22%
TXN	Texas Instruments Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$0.44	\$0.49	\$0.05	11%
DVN	Devon Energy Corp	Energy	Energy	\$0.36	\$0.33	-\$0.03	-8%
JNJ	Johnson & Johnson	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$1.64	\$1.61	-\$0.03	-2%
EOG	EOG Resources Inc	Energy	Energy	\$0.52	\$0.49	-\$0.03	-6%
DIS	Walt Disney Co/The	Communication Services	Media & Entertainment	\$0.73	\$0.69	-\$0.03	-5%
COIN	Coinbase Global Inc	Financials	Financial Services	\$0.04	\$0.00	-\$0.03	-88%
MRK	Merck & Co Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$1.23	\$1.20	-\$0.04	-3%
OXY	Occidental Petroleum Corp	Energy	Energy	\$0.24	\$0.20	-\$0.04	-15%
BIIB	Biogen Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.13	\$0.09	-\$0.04	-29%
PFE	Pfizer Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$1.00	\$0.96	-\$0.04	-4%
SPGI	S&P Global Inc	Financials	Financial Services	\$0.34	\$0.30	-\$0.04	-13%
TSLA	Tesla Inc	Consumer Discretionary	Automobiles & Components	\$0.35	\$0.31	-\$0.04	-13%
XOM	ExxonMobil Holdings Corp	Energy	Energy	\$3.16	\$3.11	-\$0.05	-2%
QCOM	QUALCOMM Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$0.62	\$0.56	-\$0.06	-10%
DOW	Dow Inc	Materials	Materials	\$0.16	\$0.10	-\$0.06	-40%
INCY	Incyte Corp	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.06	-\$0.01	-\$0.07	-113%
NEM	Newmont Corp	Materials	Materials	\$0.64	\$0.55	-\$0.09	-14%
META	Meta Platforms Inc	Communication Services	Media & Entertainment	\$3.95	\$3.82	-\$0.13	-3%
HON	Honeywell International Inc	Industrials	Capital Goods	\$0.31	\$0.17	-\$0.14	-45%
AAPL	Apple Inc	Information Technology	Technology Hardware & Equipment	\$8.66	\$8.52	-\$0.14	-2%
Top 20 by 3Q-4Q '26 Revision Impact on S&P 500 EPS				\$47.30	\$49.56	\$2.26	5%
Bottom 20 by 3Q-4Q '26 Revision Impact on S&P 500 EPS				\$25.18	\$24.00	-\$1.18	-5%
S&P 500 3Q-4Q '26 Revision				\$180.35	\$181.63	\$1.28	1%

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Source: Citi Research, Bloomberg, FactSet

We round out this section with a summary of the top contributors to the year-to-date index level earnings upside. Figure 16. Twenty stocks have collectively contributed \$45 of index earnings upside since the start of the year. As consensus has increased \$49 over that time frame, the implication is clear. Yet, there has been a cohort of stocks that have weighed on the index estimates. Still, while acknowledging this concentration effect, we also argue that the broadening case still has room to play out.

Figure 16. Top & Bottom Contributors to the Change in S&P 500 CY '26 EPS Estimates YTD

Top and Bottom 20 by YTD Change in CY '26 Consensus Estimates Impact on CY '26 S&P 500 EPS							
Ticker	Name	Sector	Industry Group	CY '26 Earnings Estimate on 12/31/25 (Index \$ per share terms)	CY '26 Earnings Estimate on 8/11/26 (Index \$ per share terms)	\$ Change YTD (Index EPS Impact)	% Change YTD (Pos/Neg Surprise)
GOOGL	Alphabet Inc	Communication Services	Media & Entertainment	\$13.79	\$25.36	\$11.57	84%
MU	Micron Technology Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$4.92	\$14.59	\$9.67	197%
AMZN	Amazon.com Inc	Consumer Discretionary	Consumer Discretionary Distribution & Retail	\$9.02	\$14.73	\$5.72	63%
NVDA	NVIDIA Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$20.84	\$24.13	\$3.29	16%
SNDK	Sandisk Corp	Information Technology	Technology Hardware & Equipment	\$0.35	\$2.76	\$2.41	690%
XOM	ExxonMobil Holdings Corp	Energy	Energy	\$3.47	\$5.37	\$1.89	55%
CVX	Chevron Corp	Energy	Energy	\$1.58	\$3.41	\$1.83	115%
MSFT	Microsoft Corp	Information Technology	Software & Services	\$14.94	\$16.06	\$1.11	7%
AVGO	Broadcom Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$6.04	\$7.15	\$1.11	18%
MPC	Marathon Petroleum Corp	Energy	Energy	\$0.50	\$1.60	\$1.11	223%
VLO	Valero Energy Corp	Energy	Energy	\$0.44	\$1.44	\$1.01	229%
JPM	JPMorgan Chase & Co	Financials	Banks	\$6.55	\$7.43	\$0.88	13%
AAPL	Apple Inc	Information Technology	Technology Hardware & Equipment	\$14.57	\$15.37	\$0.80	6%
PSX	Phillips 66	Energy	Energy	\$0.54	\$1.16	\$0.62	114%
COP	ConocoPhillips	Energy	Energy	\$0.84	\$1.42	\$0.58	69%
INTC	Intel Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$0.34	\$0.82	\$0.49	145%
GS	Goldman Sachs Group Inc/The	Financials	Financial Services	\$1.94	\$2.42	\$0.48	25%
META	Meta Platforms Inc	Communication Services	Media & Entertainment	\$7.67	\$8.07	\$0.40	5%
LRCX	Lam Research Corp	Information Technology	Semiconductors & Semiconductor Equipment	\$0.76	\$1.14	\$0.38	51%
EOG	EOG Resources Inc	Energy	Energy	\$0.63	\$1.02	\$0.38	60%
INCY	Incyte Corp	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$0.15	\$0.09	-\$0.06	-41%
SW	Smurfit Westrock PLC	Materials	Materials	\$0.18	\$0.12	-\$0.06	-35%
NKE	NIKE Inc	Consumer Discretionary	Consumer Durables & Apparel	\$0.28	\$0.22	-\$0.06	-23%
FSLR	First Solar Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$0.29	\$0.22	-\$0.06	-23%
BDX	Becton Dickinson & Co	Health Care	Health Care Equipment & Services	\$0.49	\$0.41	-\$0.07	-15%
MOS	Mosaic Co/The	Materials	Materials	\$0.10	\$0.02	-\$0.08	-79%
SLB	SLB Ltd	Energy	Energy	\$0.51	\$0.43	-\$0.08	-15%
MRNA	Moderna Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	-\$0.26	-\$0.35	-\$0.09	-34%
UAL	United Airlines Holdings Inc	Industrials	Transportation	\$0.48	\$0.39	-\$0.09	-19%
PG	Procter & Gamble Co/The	Consumer Staples	Household & Personal Products	\$1.94	\$1.84	-\$0.10	-5%
TSLA	Tesla Inc	Consumer Discretionary	Automobiles & Components	\$0.69	\$0.55	-\$0.14	-20%
COIN	Coinbase Global Inc	Financials	Financial Services	\$0.17	-\$0.01	-\$0.18	-106%
BA	Boeing Co/The	Industrials	Capital Goods	\$0.16	-\$0.09	-\$0.26	-159%
CMCSA	Comcast Corp	Communication Services	Media & Entertainment Services	\$1.73	\$1.47	-\$0.26	-15%
QCOM	QUALCOMM Inc	Information Technology	Semiconductors & Semiconductor Equipment	\$1.46	\$1.15	-\$0.32	-22%
HON	Honeywell International Inc	Industrials	Capital Goods	\$0.78	\$0.42	-\$0.36	-46%
GILD	Gilead Sciences Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$1.30	-\$0.05	-\$1.35	-104%
MRK	Merck & Co Inc	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	\$2.36	\$0.79	-\$1.57	-66%
Top 20 by YTD CY '26 Revision Impact on S&P 500 EPS				\$109.73	\$155.46	\$45.73	42%
Bottom 20 by YTD CY '26 Revision Impact on S&P 500 EPS				\$13.66	\$8.09	-\$5.57	-41%
S&P 500 YTD CY '26 Revision				\$312.51	\$361.54	\$49.03	16%

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Source: Citi Research, Bloomberg, FactSet

Growth Progression

We wrap up with a summary of growth progressions Figure 17. The level of detail afforded by looking at sector and industry group consensus is informative. What stands out is the disparity in the earnings growth setups. Furthermore, the cluster breakdown as well as for the Mag 8 versus rest of the index serves as a reminder that AI tailwinds remain imperative to index level growth.

Figure 17. Bottom-Up Consensus EPS Growth Progression by GICS Sector, Industry Group, and IG Cluster

Y/Y % EPS Growth	1Q '24	2Q '24	3Q '24	4Q '24	1Q '25	2Q '25	3Q '25	4Q '25	1Q '26	2Q '26	3Q '26	4Q '26	1Q '27	2Q '27	3Q '27	4Q '27	CY '24	CY '25	CY '26	CY '27
Communication Services	42%	8%	26%	31%	31%	47%	-8%	14%	49%	112%	30%	7%	-21%	-41%	20%	20%	26%	19%	49%	-12%
Media & Entertainment	58%	10%	33%	37%	37%	59%	-8%	13%	54%	128%	30%	9%	-25%	-46%	22%	22%	34%	22%	55%	-16%
ns Services	-2%	-2%	1%	6%	3%	3%	-4%	3%	10%	20%	18%	1%	6%	4%	9%	11%	1%	1%	13%	7%
Consumer Discretionary	21%	10%	8%	25%	6%	3%	6%	-2%	38%	85%	2%	16%	-6%	-31%	18%	19%	15%	3%	34%	-4%
Automobiles & Components	-20%	-13%	14%	18%	-33%	-26%	-20%	-25%	68%	13%	1%	20%	-12%	20%	18%	27%	-3%	-26%	23%	11%
Consumer Durables & Apparel	10%	1%	-9%	-1%	-19%	-29%	-18%	-18%	-17%	8%	-7%	7%	10%	-5%	16%	13%	0%	-21%	-2%	8%
Consumer Services	39%	-2%	-6%	13%	1%	7%	3%	10%	18%	13%	10%	11%	12%	12%	16%	18%	5%	5%	12%	15%
Consumer Discretionary Distribution & Retail	43%	28%	22%	41%	28%	17%	22%	3%	46%	133%	0%	18%	-10%	-44%	20%	18%	33%	17%	49%	-13%
Consumer Staples	6%	4%	4%	2%	-5%	0%	0%	2%	5%	7%	3%	7%	7%	7%	8%	8%	4%	-1%	5%	8%
Consumer Staples Distribution & Retail	7%	10%	3%	2%	-7%	-5%	3%	4%	5%	12%	12%	10%	10%	10%	10%	11%	5%	-1%	10%	10%
Food Beverage & Tobacco	4%	0%	3%	4%	-6%	0%	-1%	1%	5%	9%	3%	8%	8%	5%	8%	7%	3%	-1%	6%	7%
Household & Personal Products	17%	9%	7%	-1%	-2%	2%	1%	3%	7%	-1%	-2%	1%	4%	6%	7%	7%	7%	1%	1%	6%
Energy	-24%	0%	-28%	-30%	-19%	-21%	-2%	2%	1%	142%	100%	78%	59%	-30%	-20%	-9%	-21%	-11%	80%	-10%
Financials	9%	17%	7%	58%	6%	10%	21%	8%	21%	21%	4%	11%	8%	0%	13%	12%	20%	11%	14%	8%
Banks	-11%	10%	-2%	228%	17%	2%	20%	7%	20%	38%	14%	25%	9%	-4%	14%	12%	20%	11%	24%	7%
Financial Services	16%	19%	11%	44%	9%	13%	20%	1%	16%	14%	5%	11%	11%	7%	14%	14%	22%	10%	11%	11%
Insurance	45%	36%	19%	-4%	-14%	29%	34%	31%	45%	13%	-14%	-8%	1%	-7%	6%	8%	21%	19%	6%	2%
Health Care	-25%	19%	14%	15%	46%	8%	5%	0%	-4%	-7%	7%	15%	23%	33%	14%	14%	4%	13%	2%	21%
Health Care Equipment & Services	2%	7%	0%	2%	15%	-9%	-9%	-16%	6%	23%	4%	7%	9%	6%	15%	16%	3%	-5%	10%	11%
Pharmaceuticals Biotechnology & Life Sciences	-44%	30%	27%	26%	87%	22%	14%	12%	-12%	-25%	8%	19%	36%	60%	14%	13%	6%	27%	-3%	27%
Industrials	2%	-3%	-11%	4%	10%	0%	22%	25%	21%	16%	16%	1%	5%	20%	19%	17%	-2%	14%	13%	15%
Capital Goods	11%	3%	-20%	-19%	0%	1%	16%	77%	27%	22%	40%	-9%	2%	18%	20%	19%	-7%	21%	17%	15%
Commercial & Professional Services	20%	14%	11%	9%	7%	7%	7%	9%	9%	9%	8%	8%	9%	9%	9%	10%	14%	8%	9%	9%
Transportation	-36%	-24%	0%	68%	67%	-5%	39%	-42%	8%	4%	-22%	45%	17%	32%	22%	12%	1%	0%	4%	20%
Information Technology	25%	20%	19%	20%	17%	24%	28%	32%	53%	68%	59%	49%	44%	31%	29%	25%	21%	26%	57%	32%
Semiconductors & Semiconductor Equipment	83%	53%	37%	42%	30%	39%	53%	56%	108%	133%	119%	104%	77%	49%	39%	33%	50%	46%	115%	47%
Software & Services	17%	9%	9%	9%	12%	18%	18%	23%	20%	22%	14%	11%	12%	11%	17%	17%	11%	18%	16%	14%
Technology Hardware & Equipment	1%	9%	13%	12%	10%	15%	14%	20%	35%	47%	31%	20%	24%	15%	20%	17%	9%	15%	32%	19%
Materials	-21%	-8%	-11%	5%	-4%	-6%	17%	7%	28%	43%	34%	38%	18%	7%	13%	11%	-9%	3%	36%	12%
Real Estate	2%	-1%	3%	4%	0%	2%	4%	0%	3%	6%	3%	8%	6%	4%	7%	8%	2%	1%	5%	6%
Utilities	28%	21%	-2%	2%	11%	-2%	22%	-2%	14%	11%	5%	15%	4%	8%	8%	9%	11%	8%	11%	7%
S&P 500	6%	11%	7%	18%	13%	11%	13%	13%	27%	48%	26%	24%	16%	1%	17%	17%	10%	12%	31%	12%

Y/Y % EPS Growth	1Q '24	2Q '24	3Q '24	4Q '24	1Q '25	2Q '25	3Q '25	4Q '25	1Q '26	2Q '26	3Q '26	4Q '26	1Q '27	2Q '27	3Q '27	4Q '27	CY '24	CY '25	CY '26	CY '27
S&P 500 Growth IG Cluster	30%	17%	22%	25%	21%	28%	17%	23%	53%	91%	45%	37%	19%	-4%	27%	24%	23%	22%	55%	16%
S&P 500 Cyclical IG Cluster	0%	6%	-6%	19%	2%	2%	16%	11%	19%	36%	20%	17%	14%	-1%	8%	10%	4%	8%	23%	7%
S&P 500 Defensive IG Cluster	-7%	11%	7%	9%	19%	4%	5%	1%	2%	2%	7%	11%	14%	18%	11%	11%	5%	7%	5%	13%
Mag 8	49%	37%	33%	33%	32%	28%	19%	27%	60%	112%	36%	27%	7%	-16%	30%	28%	37%	26%	56%	10%
Rest of Index	-2%	6%	1%	14%	8%	6%	11%	8%	16%	27%	22%	23%	20%	10%	13%	13%	4%	8%	22%	14%
S&P 500	6%	11%	5%	18%	13%	11%	-2%	13%	27%	48%	20%	24%	16%	1%	-15%	17%	10%	12%	31%	12%

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Source: Citi Research, FactSet

In conclusion, there is little argument that fundamental drivers are supporting the YTD S&P 500 index price action. Yet, investors need to be aware of potentially non-recurring asset write-ups influencing the index earnings numbers. Furthermore, while the AI infrastructure build out continues as a fundamental catalyst, the duration/persistence of that tailwind continues to be a source of discussion, decision, and volatility. Furthermore, concentration effects continue to define the S&P 500 as to fundamental influence. To us, the case for further broadening remains in place but so too is the criticality of the AI-influenced half of the market to contribute in order for the index to reach our year-end 8100 target.

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Appendix A-1

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